

10th Judicial District Court, Pueblo County, Colorado Court Address: 501 N. Elizabeth St. Pueblo, CO 81003 Plaintiff: HamKim Inc. d/b/a Vista Inn v Defendant: AmGUARD Insurance Company a/k/a Berkshire Hathaway Insurance Companies a/k/a Berkshire Hathaway Inc.	DATE FILED: April 1, 2020 4:39 PM FILING ID: 1451D98095FDA CASE NUMBER: 2020CV30183 ▲ COURT USE ONLY ▲
Attorney for Plaintiff: Attorney: Michael Y. Kim, #53637 Address: The Michael Kim Law Firm, PLLC 7700 E. Arapahoe Road, Suite 255 Centennial, CO 80112 Phone: (214)357-7533 Facsimile: (214) 357-7531 E-Mail: mkim@mkimlegal.com	Case Number: Div.:

ORIGINAL COMPLAINT AND JURY DEMAND

COMES NOW PLAINTIFF, HamKim Inc. d/b/a Vista Inn (herein after referred to as “Plaintiff”), by and through its attorney, Michael Y. Kim, The Michael Kim Law Firm, PLLC, 7700 E. Arapahoe Road, Suite 255, Centennial, CO 80112, and Complains against the above named Defendant as follows:

PARTIES

1. Plaintiff, HamKim, Inc. d/b/a Vista Inn, is a domestic corporation with its principal office located at 4005 N. Elizabeth St., Pueblo, Colorado 81008. At the time of the formation of the contract in question, Plaintiff’s principal office was in Pueblo County, Colorado.
2. Defendant, AmGUARD Insurance Company a/k/a Berkshire Hathaway Insurance Companies a/k/a Berkshire Hathaway Inc. (herein after referred to as “Defendant”), is a foreign corporation, with an active license in the State of Colorado, who upon information and belief does not maintain a regular place of business in this state, and whose principal office address is 16 S. River Street, Wilkes-Barre, PA 18702. The Commissioner of Insurance, Colorado Division of Insurance, is authorized to accept service on behalf of Defendant, and pursuant to C.R.C.P. 4 and C.R.S. § 10-3-107(1), service may be made upon the Commissioner of Insurance for the Colorado Division of Insurance at 1560 Broadway, Suite 850, Denver Colorado 80202, who will forward to Defendant by certified mail, or other authorized means.

JURISDICTION AND VENUE

3. Jurisdiction is proper in this Court pursuant to C.R.S. § 13-1-124.
4. Venue is proper in this Court pursuant to C.R.C.P. 98(c)(1).

GENERAL ALLEGATIONS

5. Plaintiff is the owner of insurance policy number HABP014417, issued by Defendant (hereinafter referred to as the "Policy").
6. The Policy's effective date was from February 23, 2019 through February 23, 2020 (herein referred to as the "Policy Period").
7. Plaintiff owned the insured property, which is specifically located at 4005 N. Elizabeth St., Pueblo, Colorado 81008 (hereinafter referred to as the "Property"), during the Policy Period.
8. Defendant or its agent sold the Policy, insuring the Property, to Plaintiff.
9. During the Policy Period a wind, hail and rain storm struck the area surrounding the Property, causing severe damages to homes and businesses throughout the area, including the Property (herein referred to as the Storm).
10. Plaintiff timely submitted its claim to Defendant against the Policy for damage that the Property sustained from the Storm (herein after referred to as the "Claim"). Pursuant to all available policy coverages, Plaintiff asked that Defendant cover the cost of repairs to the Property related to the Storm.
11. Defendant assigned claim number HABP014417-002-002-002 to the Claim.
12. Defendant assigned, William Ardonline, its claims representative and/or adjuster, to the Claim.
13. Defendant misrepresented the amount of damages caused by the Claim through completing and submitting an estimate of damages for an amount far less than the true costs to repair the Property to its condition prior to the Storm.
14. Defendant failed to properly inspect the Property, adjust the Claim, and Defendant denied, at least a portion of, the Claim without an adequate investigation, despite the fact that the Policy provided coverage for losses such as those sustained by Plaintiff as a result of the Storm.
15. Such false representations allowed Defendant to financially gain by wrongfully denying, at least in part, the Claim.
16. Defendant failed to perform its contractual duty to adequately compensate Plaintiff under

the terms of the Policy. Specifically, Defendant failed and/or refused to pay the full proceeds of the Policy, although due demand was made for proceeds to be paid in an amount sufficient to cover the full scope of damages sustained by the Property, and despite all conditions precedent to recovery upon the Policy having been carried out and/or accomplished by Plaintiff.

17. Defendant misrepresented to Plaintiff that at least a portion of the damage to the Property was not covered under the terms of the Policy, even though the damage caused by the Storms constituted a covered occurrence based upon the Policy language. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claims Practices Act, C.R.S. §10-3-1104(h). Defendant's conduct also constitutes a statutory delay and/or denial of the claim under §10-3-1115 and §10-3-1116.
18. Defendant failed to make an attempt to settle the Claim in a fair manner, although they were aware of their liability and obligations to Plaintiff under the Policy. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claims Practices Act, C.R.S. §10-3-1104(h). Defendant's conduct further constitutes a statutory delay and/or denial of the claim under §10-3-1115 and §10-3-1116.
19. Defendant also failed to explain to Plaintiff the reasons for its offer of an inadequate settlement. Specifically, Defendant failed to offer Plaintiff adequate compensation, without any explanation why full payment was not being made. Furthermore, Defendant did not communicate that any future settlements or payments would be forthcoming to pay for the entire losses covered under the Policy, nor did it provide any explanation for the failure to adequately settle the Claims. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claims Practices Act, C.R.S. §10-3-1104(h). Defendant's conduct also constitutes a statutory delay and/or denial of the claim under §10-3-1115 and §10-3-1116.
20. Defendant failed to affirm or deny coverage of the Claim within a reasonable time. Specifically, Plaintiff did not receive timely indication of acceptance or rejection, regarding the full and entire claim, in writing from Defendant. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claims Practices Act, C.R.S. §10-3-1104(h). Defendant's conduct further constitutes a statutory delay and/or denial of the claim under §10-3-1115 and §10-3-1116.
21. Defendant refused to fully compensate Plaintiff under the terms of the Policy, even though Defendant failed to conduct a reasonable investigation. Specifically, Defendant performed an outcome-oriented investigation of the Claims, which resulted in a biased, unfair, and inequitable evaluation of Plaintiff's losses to the Property. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claims Practices Act, C.R.S. §10-3-1104(h). Defendant's conduct also constitutes a statutory delay and/or denial of the Claim under §10-3-1115 and §10-3-1116.
22. Defendant failed to meet its obligations under the Colorado Insurance Code regarding timely acknowledging the Claim, beginning an investigation of the Claims, and requesting

all information reasonably necessary to investigate the Claims within a reasonable amount of time. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claim Practices Act, C.R.S. §10-3-1104(h). Moreover, Defendant's conduct constitutes a statutory delay and/or denial of the claim under §10-3-1115 and §10-3-1116.

23. Defendant failed to meet its obligations under the Colorado Insurance Code regarding payment of claims without delay. Specifically, Defendant delayed full payment of the Claim for a period longer than allowed. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claims Practices Act, C.R.S. §10-3-1104(h). Defendant's conduct further constitutes a statutory delay and/or denial of the claim under §10-3-1115 and §10-3-1116.
24. At the time the Claim was presented to Defendant, the liability of Defendant to pay the full value of the in accordance with the terms of the Policy was reasonably clear. However, Defendant refused to pay Plaintiff, in full, despite the absence of any basis whatsoever upon which a reasonable insurance company would have relied to deny the full payment. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claims Practices Act, C.R.S. §10-3-1104(h). Defendant's conduct also constitutes a statutory delay and/or denial of the claim under §10-3-1115 and §10-3-1116.
25. Due to Defendant's wrongful acts and/or omissions, Plaintiff was forced to retain the professional services of the attorney and law firm who is representing Plaintiff with respect to these causes of action. Defendant's conduct constitutes a violation of the Colorado Insurance Code and Unfair Claims Practices Act, C.R.S. §10-3-1104(h).
26. Plaintiff's experience is not an isolated case. The acts and omissions of Defendant committed in this case, or similar acts and omissions, occur with such frequency that they constitute a general business practice of Defendant with regard to handling similar claims to the Claims upon which this matter is based. Defendant's entire process for handling such claims is unfairly designed to reach favorable outcomes for the insurance company at the expense of the policyholder, like Plaintiff.

CLAIM ONE
BREACH OF CONTRACT

27. Paragraphs 1 through 26 of this pleading are incorporated herein by reference, the same as if fully set forth verbatim.
28. As set forth above, Defendant failed to perform its contractual duty to Plaintiff under the Policy by failing to adequately compensate Plaintiff under the terms of the Policy. Plaintiff had an agreement for services and coverage with Defendant under the Policy, for which Plaintiff paid valuable consideration. Plaintiff fulfilled all conditions precedent to such claims. Defendant has also breached its obligations and responsibilities to timely and/or promptly handle and/or pay the Claims.
29. As a result of Defendant's breach, Plaintiff has been damaged, and hereby seeks all

available relief, including but not limited to its damages from Defendant, in an amount within the jurisdictional limits of this Court, to be proved at the time of trial.

CLAIM TWO
VIOLATION OF C.R.S. 10-3-1115(1)(A) AND C.R.S. 10-3-1116(1)

30. Paragraphs 1 through 29 of this pleading are incorporated herein by reference, the same as if fully set forth verbatim.
31. As set forth herein, Defendant's acts and/or omissions constituted an unreasonable delay and/or denial of payment of the Claims. Defendant delayed and/or denied full payment of the Claims without a reasonable basis for such action.
32. As a result of Defendant's acts and/or omissions, Plaintiff has been damaged, and hereby seeks all available relief, including but not limited to its damages, in an amount within the jurisdictional limits of this Court, to be proved at the time of trial. Additionally, pursuant to C.R.S. §10-3-1116(1), Plaintiff is entitled to reasonable attorneys' fees, costs, and two times the covered benefit.

CLAIM THREE
BAD FAITH BREACH OF INSURANCE CONTRACT

33. Paragraphs 1 through 32 of this pleading are incorporated herein by reference, the same as if fully set forth verbatim.
34. As a provider of insurance services to the public, Defendant at all times had a duty to be actuated by good faith and fair dealing in everything pertaining thereto, abstain from deceptive or misleading practices and keep, observe, and practice the principles of law and equity in all matters pertaining to the business of insurance.
35. Under Colorado law, every insurance contract contains an implied covenant of good faith and fair dealing and imposes on insurers a duty to act in good faith with their insured's. Pursuant to its implied duty of good faith and fair dealing, Defendant owed Plaintiff an obligation to treat Plaintiff's interests with equal consideration to their own interests.
36. Defendant breached its duty of good faith and fair dealing owed to Plaintiff, including but not limited to:
 - a. Failing to give equal consideration to the interest of Plaintiff, its insured;
 - b. When investigating Plaintiff's claims, failing to diligently search for evidence that supported their insured's (Plaintiff's) claims;
 - c. Seeking to discover only evidence that defeated their insured's (Plaintiff's) claims;

- d. Unreasonably delaying and/or withholding benefits under the insurance policy without a reasonable basis for delaying and/or withholding benefits, with knowledge or reckless disregard of a lack or reasonable basis for delaying and/or withholding benefits;
 - e. Failing to adopt and implement reasonable standards for the prompt investigation of claims arising under the insurance policy;
 - f. Refusing to pay claims without conducting a reasonable investigation based upon all available information;
 - g. Not attempting in good faith to effectuate prompt, fair and equitable settlements of claims after its liability has become reasonably clear;
 - h. Compelling Plaintiff to institute litigation to recover amounts due under the insurance policy;
 - i. Forcing Plaintiff into the costly and lengthy process of litigation; and
 - j. Any further acts which may be discovered.
37. Defendant's aforementioned conduct was unreasonable, and Defendant knew such conduct either was unreasonable or recklessly disregarded the fact that the conduct was unreasonable.
38. As a result of Defendant's breach, Plaintiff has been damaged, and hereby seeks all available relief, including but not limited to its damages, in an amount within the jurisdictional limits of this Court, to be proved at the time of trial.

DAMAGES

39. Paragraphs 1 through 38 of this pleading are incorporated herein by reference, the same as if fully set forth verbatim.
40. As a direct and proximate result of Defendant's breach of the insurance contract with Plaintiff, Plaintiff has incurred and seeks to recover all of its compensatory damages in an amount to be proved at the time of trial.
41. As a direct and proximate result of Defendant's violation of C.R.S. §10-3-1115 and C.R.S. §10-3-1116, Plaintiff incurred and is seeking damages in the amount of two times the covered benefit, attorneys' fees, and costs.
42. As a direct and proximate result of Defendant's bad faith breach of its duty of good faith and fair dealing owed to Plaintiff, Plaintiff has incurred and seeks to recover all of its compensatory damages for economic and non-economic losses, as well as punitive damages, in an amount to be proved and/or awarded at the time of trial.

JURY DEMAND

Plaintiff demands trial by jury.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff respectfully requests that judgment be entered in favor of the Plaintiff and against Defendant as follows:

- a. Damages in an amount to be proven by Plaintiff;
- b. Punitive damages;
- c. Costs of Court;
- d. Expert witness fees;
- e. Attorneys' fees;
- f. Statutory interest from the date this cause of action accrued or as otherwise permitted under Colorado law; and
- g. such other and further relief as this Court deems just and proper.

Dated this 1st day of April 2020.

Respectfully Submitted,

**THE MICHAEL KIM LAW FIRM,
PLLC**

/s/Michael Y. Kim

Michael Y. Kim, #53637

In accordance with C.R.C.P. 121, §1-26(9), a printed copy of this document with original signatures is being maintained by the filing party and will be made available for inspection by other parties or the Court upon request.